the stagnant income trajectories of farmers and the inadequate supply chains. This is in addition to the lack of non-agriculture jobs in the rural economy. There is no magic wand solution to these problems. Meanwhile, the economic survey this year has predicted that India needs at least 7.8 million jobs in the non-farm sector over the next seven years to absorb the shifting demographic weight.

Union agriculture minister Shivraj Singh Chouhan has a task on his hands. In her budget provisions, Sitharaman has kept aside Rs 1.52 lakh crore—up by Rs 11,318 crore from last year—for agriculture and allied sectors. This is in addition to the spike in rural spending, up by 10 per cent to Rs 2.66 lakh crore. Out of this, the rural development ministry (also led by Chouhan) will get Rs 1.77 lakh crore, marginally up from 1.71 lakh crore the ministry spent last year.

In this year's allocations, the agriculture ministry gets a Rs 10,000 crore Price Stabilisation Fund to maintain buffer stock of pulses, oilseeds, onions and potatoes. This plan allows the ministry, along with central agencies like NAFED (National Agricultural Cooperative Marketing Federation of India Ltd), to work with states to extend the interest-free loans and finance the working capital of state agencies in the procurement and distribution of these commodities. In addition to this, Sitharaman has increased the allocation for the Pradhan Mantri Annadata Aay Sanrakshan Abhiyan (PM-AASHA) for MSP remunerative prices to farmers by three times to Rs 6,437 crore this year. The funds also free up central agencies to procure up to 25 per cent of the marketable surplus of farmers in eligible crops. This is in addition to the continuous procurement of grains for the country's buffer stocks.

Chouhan also gets funds to work with the states to set up large-scale vegetable production clusters closer to major consumption centres. But for it to work, he will have to use the "cleaned up" network of farmer-producer organisations (FPOs), cooperatives and start-ups to strengthen the supply chains, including for collection, storage, and marketing. In the past, inefficient supply chains had resulted in significant post-harvest losses for vegetable growers and escalation of prices for consumers. Farmers typically receive a small fraction of the final market price of their produce due to the limited market access and long chain of intermediaries. The aim is to break this, get more money into the hands of farmers along with better market access. Seeking to achieve this was part of the vision in Modi 2.0's three farm laws from 2020, but the government had to retreat in the face of the anger of the farm unions. The attempt then was to attract corporate/private sector money into the farm sector. The focus has shifted now towards the cooperative models, strengthening them to achieve the same results and help the farmers.

The budget also details the allocations for some ambitious schemes, such as Rs 500 crore for Prime Minister Narendra Modi's pet project of creating 10 million 'Drone Didis'—rural women with UAVs and the skill sets to use drones for agricultural purposes—in the next three years. There are also the 10 million agri-entrepreneurs who'll be initiated into natural farming in the next two years. This is complemented by two big announcements for the Amit Shah-led cooperation ministry—a comprehensive National Cooperation Policy for bringing about orderly, all-round development of the cooperative sector which, ministry officials say, will fast-track growth in the rural economy and thus help generate jobs; and return of the grant-in-aid of Rs 500 crore to the National Cooperative Development Corporation (NCDC) to strengthen the cooperative sugar mills (CSMs).



"Efforts are on to develop digital infrastructure in agriculture to assist farmers. The e-samridhi portal was launched for this"

— SHIVRAJ SINGH CHOUHAN

Union minister for agriculture & rural development

The last also has a political angle to it as sugar mills are a big factor in farmer unrest in poll-bound Maharashtra and Haryana (mainly the areas adjoining western UP). The cooperation and agriculture ministries, along with the states, have been pushing hard to strengthen the agri cooperatives and FPOs in the past five years, including in digitalisation. All the PACS (primary agricultural credit societies) as well as agri and rural development banks are being digitalised and linked to NABARD (National Bank for Agriculture and Rural Development) so as to have real-time data, a big step to push formal credit institutions to help farmers. The FM has also promised a comprehensive review of the agriculture research setup to find ways to raise productivity. Some 109 high-yielding and climate-resilient varieties of 32 field and horticulture crops were released for cultivation as part of this. The budget holds much new promise for the farmer community. But whether it'll all pan out—and whether our sons of the soil will warm up to it—are crucial parts of the challenge. ■